
Generative AI's Act Two From Technology Hammer to Real Value

Sequoia Capital Analysis

PROJECT CODE
GENAI-ACT2

DATE
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 **KEY INSIGHT** Generative AI is not a sudden event, but the culmination of compounding progress in compute, data, and distribution.

6

Decades of Compute

Moore's Law delivered the horsepower to process exaflops of data.

4

Decades of Training Data

The internet (accelerated by COVID) produced trillions of tokens.

2

Decades of Distribution

Mobile and cloud computing put a supercomputer in every human's palm.

ChatGPT's launch was the spark

Igniting a Cambrian explosion of innovation not seen since the early internet.

 **KEY INSIGHT** Generative AI startups achieved >\$1B in revenue in months, a milestone that took SaaS years to reach.

Standout Commercial Successes

ChatGPT

Fastest-growing application in history

Strong product-market fit among students and developers.

#1 Growth Rate

Midjourney

Hundreds of millions in revenue

Achieved with a highly efficient team.

11 Employees

Character.ai

High engagement companionship app

Popularized AI entertainment and companionship.

2 hr Avg. Session

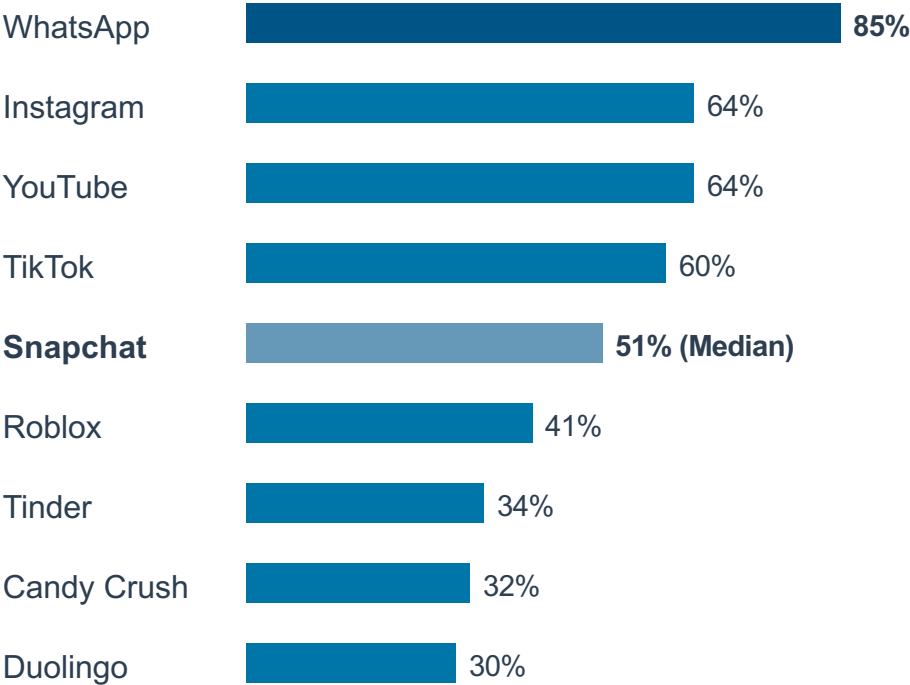
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KEY INSIGHT

AI-first apps face a severe retention gap with a 3.6x disadvantage compared to incumbent consumer apps.

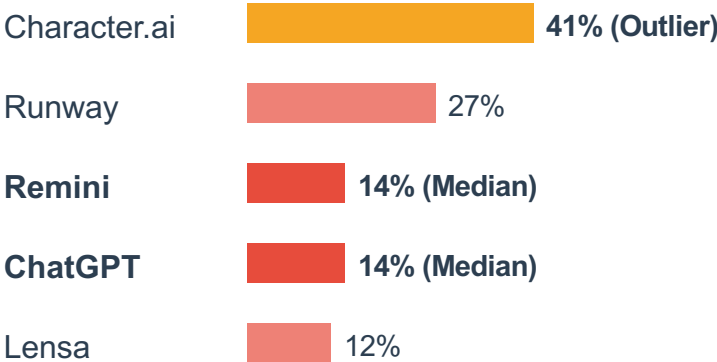
Incumbent Consumer Apps

Median: 51%



AI-First Companies

Median: 14%



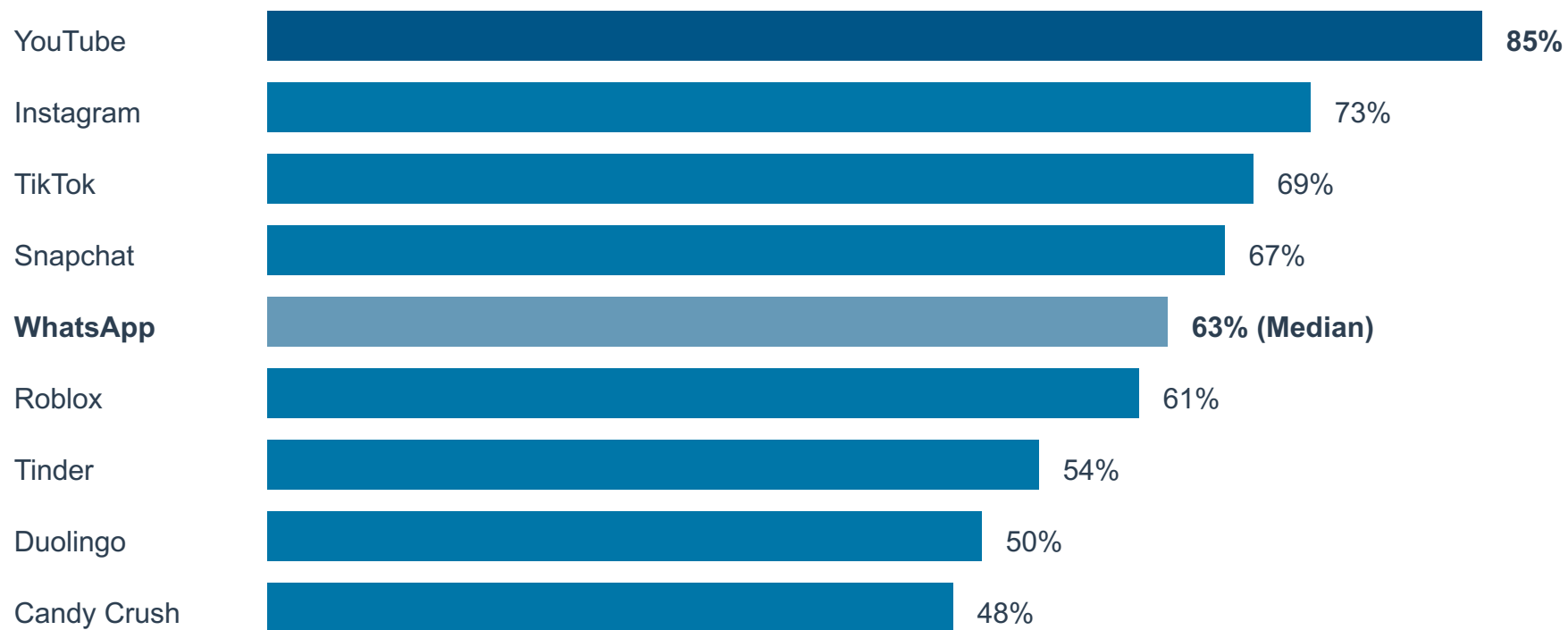
The Retention Challenge

Most early AI apps lacked stickiness and were viewed as novelties.

KEY INSIGHT Incumbents set an extremely high engagement bar (63% median) that AI apps must clear to compete as end-to-end solutions.

Incumbent Monthly Active Usage

Active users / Install base



 **KEY INSIGHT** The market is shifting from novelty apps (technology-out) to end-to-end solutions solving human problems (customer-back).

Act 1: Technology-Out

Foundation models as the entire solution

The model was treated as a standalone hammer.

Novelty demos & lightweight wrappers

Superficial applications lacking deep utility.

Poor user retention

Lack of stickiness, high churn rates.



Act 2: Customer-Back

Foundation models as a component

Models integrated into comprehensive solutions.

New editing interfaces & multi-modal

Workflows made stickier with better outputs.

End-to-end problem solving

Solving actual human problems completely.

Exemplars: Harvey, Glean, Character, and Ava

 **KEY INSIGHT** The shift from modality to use-case categorization reflects the increasingly multi-modal nature of value delivery.

ACT 1: Organized by

Model Modality

Text, Image, Code



ACT 2: Organized by

Use-Case-Driven Categories

Solving specific human problems end-to-end

Act 2 Category Exemplars

Harvey

Legal Category

Custom LLMs tailored for elite law firms.

Glean

Enterprise Search Category

Crawling and indexing workspaces for relevant enterprise AI.

Character & Ava

Companionship Category

Digital companions proving extreme user stickiness.

 **KEY INSIGHT** The transition to Act 2 requires abandoning novelty in favor of sticky, end-to-end multi-modal solutions.

1 **Retention is the critical challenge** AI-first apps face a 14% median vs. 51% for incumbents.

2 **Component vs. Product** Foundation models should be a component, not the whole product.

3 **Multi-modal & Integrated** Multi-modal, workflow-integrated solutions will win.

4 **Real Demand Exists** The \$1B+ revenue milestone proves demand despite hype cycles.

5 **End-to-end Solving** **Companies solving end-to-end human problems will define Act 2.**